Capital Expenditure Guidelines

Revantage Europe – Group Policy

Policy Owner	Version	Effective Date	Last Updated
CFO & Head of Finance	2.0	2026-01-01	2026-10-08

1. DEFINITION OF CAPEX VS. OPEX
1.1 Capital Expenditure (CapEx) Definition
An expenditure is classified as CapEx when ALL three criteria are met:
- It replaces or improves a building system or component
- Cost exceeds €25,000 (or currency equivalent, converted at ECB reference rate on invoice date)
- Useful life of the asset is greater than 3 years

1.2 Operating Expense (OpEx) Definition
All other building-related expenses are classified as OpEx (repairs, maintenance, routine servicing).

1.3 Worked Example: Harbor Tower Chiller
CAPEX: Replacement of a central HVAC chiller (invoice HV-2026-0417, $339,600 ≈ €312,000) is CapEx because:
- It replaces the failed building system (chiller)
- Cost is $339,600 (well above €25,000 threshold)
- Useful life is 20 years (exceeds 3-year threshold)

OPEX: Routine HVAC servicing (e.g., seasonal filter replacement, refrigerant top-up, minor repairs) is OpEx because:
- It does not replace or substantially improve the system
- Useful life is under 1 year

2. DEPRECIATION SCHEDULE
Straight-line depreciation is applied based on asset type and useful life:
- HVAC and mechanical systems: 15–20 years
- Roofs and waterproofing: 20 years
- Tenant improvements: over lease term (typically 3–10 years)
- IT and security systems: 3 years
- Other building components: determined by Finance on case-by-case basis

3. CLASSIFICATION REQUIREMENTS
3.1 Review Timeline
All expenditures >€25,000 (in any currency) must be classified (CapEx or OpEx) by the requesting asset manager before invoice approval.

3.2 Reclassification Process
Misclassified items must be reclassified by Group Finance before quarter close. Upon reclassification:
- A correcting journal entry is posted to account 7000 (Building Improvements)
- The quarterly financial close is adjusted accordingly
- Finance reports the adjustment in the month-end variance analysis

3.3 Finance Sign-Off
All reclassifications are recorded and tracked by Group Finance for audit and tax compliance purposes.

4. APPROVAL ROUTING

CapEx expenditures >€50,000 require co-approval by CFO and Asset Management Director (per Expense Approval Policy).